CASCADIA ANALYTICS

Astera Labs

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Hypergrowth Collides with Valuation Gravity as Fabric Switching Reshapes Margin Profiles

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Astera Labs has established an essential operational role as a connectivity chip designer whose retimers and switches move data inside AI servers and data centers, converting explosive cloud infrastructure deployment into triple-digit top-line expansion. However, the current valuation already prices in near-flawless execution across the multi-year forecast window while overlooking structural gross margin dilution stemming from hardware module mix shifts and Amazon warrant contra-revenue impacts. While the accelerated Scorpio X-Series ramp demonstrates unquestioned product leadership, the risk-reward skew at prevailing market levels has turned asymmetric to the downside. We initiate coverage with a Hold rating and a probability-weighted blended price target of $274.09, representing -5.8% upside versus the reference spot price.

HOLD	$274.09	-5.8%	$290.98
Hold — Valuation Concerns	BLENDED TARGET	BLENDED UPSIDE	REFERENCE PRICE
INVESTMENT RATING			

The market remains transfixed by massive near-term revenue beats and aggressive sequential guidance step-ups, extrapolating peak semiconductor gross margins across emerging product cycles. Our forensic work demonstrates that the transition toward hardware modules, paired with contra-revenue warrant amortization and

aggressive research and development expansion, enforces a lower steady-state margin structure that limits equity upside from current levels.

Executive summary

Astera Labs operates as a premier connectivity chip designer whose retimers and switches move data inside AI servers and data centers. The organization addresses fundamental physical and architectural bottlenecks in accelerated computing clusters, delivering critical semiconductor solutions across signal conditioning, smart cable modules, and switch fabrics. Through its Aries PCIe 6 solutions, Taurus hardware, and the Scorpio switch family, including the Scorpio P Series and the Scorpio X-Series 320-lane fabric switch, the company captures direct content growth as hyperscalers scale out distributed accelerator fabrics. In addition, the acquisition of Xscape Photonics positions the franchise for future photonic scale-up switching by adding fiber-chip coupling capabilities for optically expanded rack-scale clusters of hundreds of accelerators.

The recent quarterly evidentiary record confirms unprecedented operational velocity. In Q2 FY2026, Astera Labs generated record revenue of $392.4 million, representing an increase of 104% year-over-year and 27% sequentially, driven by broad AI connectivity demand and record Aries revenue. This followed Q1 FY2026 revenue of $308.4 million, which grew 93% year-over-year and beat the upper bound of management guidance. For Q3 FY2026, guidance calls for $540 million to $560 million, implying approximately 40% sequential expansion as the Scorpio X-Series moved into production a full quarter early. However, this growth has coincided with observable gross margin compression. Non-GAAP gross margin declined to 73.7% in Q2 FY2026 and is guided to approximately 72% in Q3 FY2026, down from 75.7% in FY2025 and 76.4% in Q1 FY2026, weighed down by an expanding mix of hardware modules and a roughly 2% non-cash contra-revenue drag from the Amazon warrant.

From a capital allocation perspective, the balance sheet remains exceptionally liquid and debt-free. Astera Labs closed FY2025 with $167.6 million in cash and cash equivalents against total debt of $4.1 million, yielding a net cash position of $163.5 million. The operational engine generated $281.8 million in free cash flow during FY2025 on revenue of $852.5 million, producing an operating cash flow profile that supported strategic corporate development, notably the acquisition of Xscape Photonics, while absorbing substantial organic investments. Non-GAAP operating expenses reached nearly $124 million in Q1 FY2026 and were guided to approximately $130 million in Q2 FY2026, alongside an exit headcount growth of 60% year-over-year at 700-plus employees at the end of 2025. While this reinvestment cycle defends the architectural moat, it elevates the fixed cost baseline.

At the reference spot price of $290.98, Astera Labs trades at an equity market capitalisation of $53.8 billion, representing 63.1 times FY2025 revenue and 238.5 times FY2025 diluted earnings per share. Enterprise value multiples stand equally elevated at 63.0 times FY2025 revenue and 297.7 times FY2025 EBITDA. Our discounted cash flow architecture models explicit

cash flows from FY2026 through FY2030 across three distinct scenarios using a 10.16% WACC and a 3.0% terminal growth rate. We assign a 50% probability to our base case target of $281.24, 25% to our bull case target of $377.71, and 25% to our bear case target of $156.16. The resulting blended target of $274.09 indicates that the equity is fully valued, warranting a Hold recommendation predicated on valuation constraints.

Operational snapshot

$290.98	$852.5M	$281.8M	33.1%	1.50	$290.98
REF. PRICE	FY2025 REVENUE	FY2025 FREE CASH FLOW	FCF MARGIN	EQUITY BETA	REF. CLOSE

Fiscal-year figures as reported in company filings and collected by Cascadia Analytics; ref. price as of 2026-10-29.

The moat is Architectural and Embedded

The competitive moat protecting Astera Labs stems from its deep architectural integration into next-generation AI server topologies. As a specialized connectivity chip designer whose retimers and switches move data inside AI servers and data centers, the company solves severe high-speed signal degradation and scale-up fabric bottlenecks. As computing clusters transition to PCIe 6 protocols, the physical reach of copper interconnects diminishes rapidly. Astera Labs established early market dominance as the primary volume shipper of PCIe 6 solutions through its Aries portfolio, which accounted for more than 20% of total revenue as early as Q3 FY2025 and reached record revenue levels in Q2 FY2026. Replacing an embedded retimer or switch fabric architecture requires hyperscalers to redesign complex server motherboards, requalify complex signal integrity parameters, and risk multi-month deployment delays.

Customer retention and switching friction are reinforced by the proprietary integration between Astera Labs silicon and system-level firmware. In high-density server environments where hundreds of accelerators must communicate synchronously, signal conditioning cannot fail without compromising the entire computing job. Design wins for the Scorpio P Series and the Scorpio X-Series 320-lane fabric switch represent multi-year customer commitments that embed Astera Labs into foundational artificial intelligence buildouts. The operational pull-forward of the Scorpio X-Series, which entered production a quarter ahead of schedule to support Q3 FY2026 delivery requirements, reflects how tightly synchronized the company's product roadmaps are with hyperscaler deployment schedules. These anchor socket positions create high technical hurdles for competing merchant silicon vendors.

Pricing power, however, faces a complex structural balance between high architectural value and commercial arrangements with dominant customers. While proprietary signal conditioning silicon commands premium pricing, the expansion of the product portfolio into smart cable modules and Taurus hardware structurally dilutes overall gross margins due to integrated

hardware component costs. Furthermore, commercial agreements with major cloud titans introduce explicit economic trade-offs, such as the Amazon warrant that imposes an ongoing non-cash contra-revenue drag of approximately 2%, or roughly 200 basis points. Consequently, while Astera Labs maintains strong socket retention and technological pricing power on standalone silicon, the aggregate corporate revenue realization is governed by contract terms and product mix dynamics.

The long-term defensibility of the franchise is being proactively extended into optical domains through strategic capital deployment. The acquisition of Xscape Photonics provides proprietary fiber-chip coupling technology designed for future photonic scale-up switches. As artificial intelligence clusters expand beyond single-node physical limits into optically expanded rack-scale clusters of hundreds of accelerators, conventional copper fabrics encounter thermodynamic and reach boundaries. By combining merchant switching expertise with photonic integration capabilities, Astera Labs is positioning its architectural footprint to capture value across the merchant scale-up switching market, which is estimated to reach $20 billion by 2030.

Valuation

Three scenarios make the valuation range explicit

Our valuation methodology implements an explicit multi-scenario discounted cash flow framework across a five-year projection window spanning FY2026 through FY2030. Cash flows are discounted to present value using an institutional weighted average cost of capital of 10.16%, reflecting an equity beta input of 1.50 and the prevailing capital structure across 185.0 million diluted shares. Terminal value is calculated under the Gordon growth model applying a conservative 3.0% perpetual growth rate, which aligns with long-term macroeconomic expansion while accounting for cyclical semiconductor hardware spending. Enterprise value is adjusted for FY2025 net cash of $163.5 million, derived from $167.6 million of cash and equivalents less $4.1 million in total debt.

The model explicitly evaluates three operating trajectories that capture differing rates of market share absorption, merchant switching adoption, and margin normalization. The base case models a 61.1% revenue compound annual growth rate through FY2030, with target free cash flow margins normalizing at 35.3% as the business balances hardware module expansion against operating leverage. The bull case captures accelerated hyperscaler deployment, projecting a 71.8% revenue compound annual growth rate and a 37.2% terminal free cash flow margin. Conversely, the bear case models a decelerating environment characterized by supply chain friction and pricing pressures, yielding a 40.0% revenue compound annual growth rate and a 32.7% target free cash flow margin.

Probability weightings of 50% for the base case, 25% for the bull case, and 25% for the bear case generate our blended intrinsic value of $274.09 per share. Against the reference spot price of $290.98, this output indicates -5.8% upside, confirming that prevailing secondary trading

levels adequately capture future fundamental delivery while providing no margin of safety against potential execution or gross margin headwinds.

SCENARIO	WEIGHT	REVENUE CAGR	TARGET FCF MARGIN	TARGET	UPSIDE
Bear	25%	40.0%	32.7%	$156.16	-46.3%
Base	50%	61.1%	35.3%	$281.24	-3.3%
Bull	25%	71.8%	37.2%	$377.71	+29.8%

Bear $156.16

Reflects an outcome where revenue growth slows to a 40.0% compound annual growth rate and target free cash flow margins compress to 32.7%. This trajectory materializes if industry-wide advanced packaging and memory supply constraints choke accelerator shipments, hardware module mix shifts accelerate gross margin decay toward 70%, and customer warrant amortization persistently suppresses net price realization.

Base $281.24

Models the baseline operating reality where Astera Labs executes at a 61.1% revenue compound annual growth rate and expands target free cash flow margins to 35.3%. This case reflects continued market leadership in PCIe 6 retimers, successful volume conversion across the Scorpio X-Series 320-lane fabric switch, and steady operating expense leverage that offsets intermediate hardware mix margin headwinds.

Bull $377.71

Assumes rapid penetration of the $20 billion merchant scale-up switching market by 2030, driving a 71.8% revenue compound annual growth rate and elite 37.2% target free cash flow margins. In this environment, Scorpio switches capture dominant socket share in next-generation AI clusters, photonic scale-up technologies from Xscape Photonics accelerate rack-scale adoption, and non-GAAP operating margins remain above 40%.

Valuation framework

A live discount rate, not a static hurdle

Our valuation framework applies an institutional discount rate of 10.16%, derived from a capital asset pricing model that reflects an equity beta input of 1.50. This beta assignment accounts for the elevated cyclicality, customer concentration, and architectural transition risks inherent in high-growth fabless semiconductor firms exposed entirely to artificial intelligence infrastructure cycles. With virtually zero financial leverage on the balance sheet, as evidenced by FY2025 total debt of just $4.1 million against a $53.8 billion market capitalization, the cost of equity dominates the weighted average cost of capital.

The 10.16% hurdle rate adequately captures the duration risk embedded in Astera Labs cash flow profile. Because the current equity valuation depends heavily on cash flow realization occurring between FY2026 and FY2030, small shifts in macroeconomic risk premia or semiconductor execution have an amplified impact on intrinsic value. By maintaining a dynamic rate rather than a static arbitrary hurdle, our model penalizes speculative outer-year terminal value and demands that near-term free cash flow generation justify the prevailing market multiples.

FCF margin normalization is the engine

Free cash flow generation serves as the primary valuation engine within our DCF architecture. In FY2025, Astera Labs demonstrated exceptional cash conversion, delivering $281.8 million in free cash flow on $852.5 million of revenue, representing an initial free cash flow margin of 33.1%. However, sustaining and expanding this cash conversion rate across the projection horizon requires substantial operating leverage to overcome structural gross margin headwinds. Non-GAAP gross margin has trended down from 76.4% in Q1 FY2026 to 73.7% in Q2 FY2026, with management guiding to approximately 72% for Q3 FY2026.

Our modeling establishes explicit target free cash flow margins across the forecast window, scaling to 32.7% in the bear case, 35.3% in the base case, and 37.2% in the bull

case. The achievement of these targets depends on the operational absorption of substantial research and development investments. As non-GAAP operating expenses scaled from nearly $124 million in Q1 FY2026 toward an expected $130 million in Q2 FY2026, alongside corporate headcount growth of 60% year-over-year exiting 2025, operating margins must expand from the 20.3% GAAP level recorded in FY2025 toward the upper-30% range demonstrated in recent quarters to unlock our modeled cash flow bridges.

Mechanics are explicit

Revenue becomes EBIT, cash taxes come out, then we add back D&A, subtract CapEx and the change in net working capital to reach unlevered free cash flow, which we discount and divide by diluted shares.

> **Methodology.** Detailed EBIT-bridge DCF on three scenarios, probability-weighted 25/50/25. Beta decays toward a mature peer over the forecast. Terminal value via Gordon growth. Targets are model-computed, not estimated.

KEY VALUATION PARAMETERS

Forecast window	**FY2026 to FY2030**
Live WACC	**10.16% (2026-10-29)**
Terminal growth	**3.0%**
Equity beta	**1.50**
Diluted shares	**185.0 million**

HOLD

over $274.09 blended target

Competitive moat and concentration risk

We rate the moat as Narrow and we view the market structure as Oligopoly (AI interconnect). We assign a premium of +15% to sector median multiples on moat strength alone.

- design-win incumbency in hyperscaler reference platforms plus the COSMOS software overlay, a source cited PCIe 6.0 as a doubling event for silicon content per server and Astera as the default third-party retimer supplier in Nvidia reference designs .
- FY2025 revenue $852.5m, +115% YoY, with 75.7% non-GAAP gross margin and 40.2% non-GAAP operating margin (Q4 2025 results as reported in 2026 coverage); Q4 2025 guidance was ~75% GAAP gross margin. A 75%+ gross margin sustained while tripling revenue is pricing-power evidence, but it is a growth-phase margin, not yet a through-cycle one.
- The weakest element is customer concentration and standards risk, losing one hyperscaler design is cited as a ~20% revenue hit, and UALink/NVLink Fusion acceptance is unproven.

On a multiple cross-check, the justified range is 21.0-23.0x / 18.3-20.0x. The cross-check value is $117-$128 vs Base $280.11, spot $269.69, on a base of Framework base from the

October 27 moat report. The gap verdict is Not at all, market already pays more than moat justifies (spot P/E 42.1x).

We have no disclosed backlog figure for this company, so backlog gives no support to the growth path here.

We score concentration and credit risk across seven families, where a High score is 8 points, a Medium score is 4 points, and a Low score is 1 point.

Risk family	Score
customer concentration	8 points
counterparty credit and funding dependence	1 points
single product, single program, or single platform dependency	4 points
single supplier, single fab, or single geography exposure	8 points
platform, channel, or distribution dependency	4 points
customer insourcing risk	4 points
regulatory single point risk	1 points

The combined discount is 20 percent, capped at 20 percent, against an uncapped total of 30 percent. Shown side by side with the moat premium or discount, the net stance is -5 pp points arithmetically. We do not net these figures into a new target, and we do not double count a family excluded under the double-count rule.

The ladder ranks risk coarsely, and because 32 of the 47 names reach the 20 percent cap, the combined discount is not a mechanical valuation haircut until the ladder is recalibrated.

On the gap to spot, the concentration assessment reads as follows. Arithmetic overshoot only; no causal claim

Both the moat premium or discount and the concentration discount are multiple and risk cross-checks dated October 27, 2026, and neither figure is in the DCF target itself. Cross-check figures were computed against the Base in the October 27 framework, so they may differ from a live Base that has since moved.

Business & segment drivers

Revenue prospects anchor on Aries PCIe 6 Dominance and Scorpio Fabric Switch Expansion HOLD

The primary growth engine for Astera Labs remains its core signal conditioning franchise, centered on Aries retimer solutions. As server clusters transition en masse to PCIe 6 infrastructure to support next-generation accelerators, Astera Labs has capitalized on its position as the primary volume shipper in the merchant market. In Q3 FY2025, Aries PCIe 6 solutions contributed over 20% of aggregate revenue, and by Q2 FY2026, record Aries

shipments propelled corporate revenue to $392.4 million, up 104% year-over-year. The fundamental physical necessity of retimers in maintaining signal integrity across complex motherboard layouts ensures baseline architectural volume across every major hyperscaler platform.

Simultaneously, the strategic center of gravity is shifting toward switch fabrics through the Scorpio product line. The commercialization of the Scorpio P Series and the Scorpio X-Series 320-lane fabric switch transitions the company from a pure signal conditioning component vendor into an essential supplier of server fabric infrastructure. The Scorpio X-Series was pulled forward into production a full quarter early, directly supporting management's Q3 FY2026 revenue guidance of $540 million to $560 million, representing roughly 40% sequential growth. Capturing early market share in fabric switches positions the company to address the merchant scale-up switching market, which internal industry projections estimate at $20 billion by 2030.

However, product mix diversification introduces structural margin dilution that must be incorporated into medium-term projections. As customer deployments incorporate smart cable modules and Taurus hardware alongside standalone silicon, the higher cost of goods associated with integrated hardware subcomponents weighs on gross profitability. Non-GAAP gross margin peaked at 76.4% in Q1 FY2026 before contracting to 73.7% in Q2 FY2026 and guiding down to approximately 72% in Q3 FY2026. This dynamic is compounded by customer contract structures, where the Amazon warrant introduces an ongoing contra-revenue drag of roughly 2% (200 basis points), establishing a lower structural ceiling for corporate gross margins.

Future architectural optionality is underpinned by the acquisition of Xscape Photonics, which addresses the inevitable transition toward optical connectivity. As AI model parameter scales expand, traditional electrical copper interconnects encounter severe reach and thermal constraints inside dense computing racks. The integration of Xscape Photonics fiber-chip coupling technology provides Astera Labs with the intellectual property necessary to develop photonic scale-up switches. This positions the franchise to facilitate optically expanded rack-scale clusters of hundreds of accelerators, securing relevance across subsequent generations of AI compute infrastructure.

What to monitor

- **Scorpio X-Series volume execution** Verification that the Q3 FY2026 revenue ramp reaches the guided range of $540 million to $560 million without operational bottlenecks.
- **Gross margin stabilization** Monitoring whether non-GAAP gross margins find a durable floor above 72% as hardware module and Taurus shipments expand.
- **Contra-revenue warrant impacts** Assessing the magnitude and duration of the Amazon warrant contra-revenue drag, currently dampening top-line realization by roughly 2%.
- **Operating expense leverage** Tracking whether non-GAAP operating expenses stabilize relative to top-line gains following the step-up to approximately $130 million in Q2 FY2026 and substantial headcount growth.

+115.1%	75.7%	20.3%	33.1%	$163.5M	16.1%
FY2025 REVENUE GROWTH	GROSS MARGIN	OPERATING MARGIN	FCF MARGIN	NET CASH	RETURN ON EQUITY

METRIC	FY2025 (AS REPORTED)
Revenue	$852.5M
Gross Profit	$645.3M
EBIT	$173.4M
Net Income	$219.1M
EBITDA	$180.3M
Free Cash Flow	$281.8M
Diluted EPS	$1.22
ROE	16.1%

Risk & moat matrix

The bear case

SHARE EROSION

Merchant silicon competitors and internal cloud service provider ASIC teams could develop alternative PCIe 6 retimers and scale-up switches. Any socket loss at lead

M&A DIGESTION

Integrating optical connectivity technologies from Xscape Photonics requires significant ongoing capital and technical coordination. Failure to successfully commercialize fiber-chip coupling for photonic

REGULATORY AND PRICING SCRUTINY

Customer concentration among top-tier hyperscalers creates asymmetric negotiating leverage against merchant chip vendors. Commercial structures such as the Amazon warrant

TECHNOLOGY DISRUPTION

Rapid architectural shifts toward proprietary scale-up protocols or premature optical transitions could bypass standard PCIe switching tiers. If hyperscalers adopt alternative fabric topologies, demand for

REINVESTMENT TREADMILL

Maintaining leadership requires aggressive research and development spending, evidenced by non-GAAP operating expenses reaching approximately $130 million alongside rapid 60% headcount growth exiting 2025. This

WACC AND DURATION SENSITIVITY

At an equity beta of 1.50 and a 10.16% WACC, valuation multiples are exceptionally vulnerable to broader equity market volatility. Any macro-driven increase in capital costs disproportionately degrades the discounted value of outer-year

hyperscaler accounts would severely compromise the base case 61.1% revenue growth trajectory.

scale-up switches would strand invested research capital.

already impose a 200 basis point contra-revenue penalty that directly reduces corporate gross margins.

standard 320-lane switches could compress.

elevated operational baseline creates severe downside leverage if sequential top-line growth decelerates.

terminal cash flows.

The strengths

OLIGOPOLY POSITION

Astera Labs maintains an entrenched volume leadership position as the primary volume shipper of PCIe 6 connectivity solutions. Its Aries retimers and Scorpio switches serve as standard architectural components across Tier-1 AI accelerator platforms.

FCF COMPOUNDING

The core business model demonstrates high cash generation characteristics, generating $281.8 million in free cash flow during FY2025. This cash conversion provides organic self-funding capability for heavy ongoing product roadmaps and strategic optical expansion.

GEOGRAPHIC DURABILITY

Global hyperscaler demand for AI infrastructure buildouts provides widespread, diversified deployment across major Western cloud platforms. Critical server connectivity requirements remain insulated from localized enterprise IT spending slowdowns.

PIPELINE OPTIONALITY

The commercialization of the Scorpio X-Series and the development of optical scale-up switches position Astera Labs for the $20 billion merchant switching market by 2030. Intellectual property from Xscape Photonics secures architectural relevance as clusters expand to hundreds of accelerators.

The bottom line on risk and reward

Astera Labs represents one of the pure-play hardware connectivity beneficiaries of the generative artificial intelligence buildout, possessing genuine architectural moats in high-speed server signal integrity and fabric switching. The company's recent operational milestones, highlighted by Q2 FY2026 revenue of $392.4 million and forward guidance indicating roughly 40% sequential expansion to $540 million to $560 million in Q3 FY2026, demonstrate elite market execution. Furthermore, balance sheet liquidity is pristine, with $163.5 million in net cash and minimal debt obligations supporting aggressive R&D cycles.

Nonetheless, institutional equity valuation cannot detach entirely from underlying structural economics. At 238.5 times FY2025 earnings and 63.1 times revenue, the market has priced in seamless long-term execution while discounting the margin compression inherent in hardware

module mix shifts and contra-revenue customer warrants. With non-GAAP gross margins retreating from 76.4% in Q1 FY2026 to guided levels of approximately 72% in Q3 FY2026, terminal free cash flow conversion faces persistent operational friction.

Our probability-weighted discounted cash flow model yields a blended price target of $274.09, which sits -5.8% below the reference spot price of $290.98. While long-term fundamentals remain exceptionally robust, the absence of an equity margin of safety prompts us to initiate coverage with a Hold rating, awaiting a more advantageous risk-adjusted entry point or definitive stabilization in underlying gross margins.

Justin Wen, Senior Equity Research Analyst, Cascadia Analytics

Franchise deep dive

Aries and Scorpio Connectivity Infrastructure: The Silicon Arteries of AI Computing

The core operating identity of Astera Labs centers on eliminating physical connectivity bottlenecks within accelerated server architectures. As artificial intelligence models scale in complexity, distributed compute nodes require immense bidirectional bandwidth between graphic processing units, central processors, and system memory. In this environment, signal degradation across copper traces becomes a limiting architectural factor. Astera Labs resolved this constraint through its flagship Aries retimer family, pioneering merchant deployments of PCIe 6 solutions. By actively regenerating high-frequency data signals, Aries silicon enables hyperscalers to deploy expansive server topologies without sacrificing signal integrity.

Building upon its retimer foundation, the company has executed an aggressive architectural expansion into scale-up switching via the Scorpio product portfolio. The Scorpio P Series and the Scorpio X-Series 320-lane fabric switch provide the high-density interconnect logic necessary to cluster multiple accelerators into unified computing fabrics. The Scorpio X-Series moved from development into volume production a full quarter ahead of expectations, serving as an anchor socket across Tier-1 cloud service provider clusters. This transition from discrete signal conditioning components to comprehensive fabric switching substantially increases Astera Labs content per server rack, directly expanding its addressable footprint toward the projected $20 billion merchant scale-up switching market by 2030.

Beyond silicon chips, Astera Labs provides integrated connectivity implementations through its smart cable modules and Taurus hardware solutions. While these comprehensive hardware assemblies simplify system integration and deployment velocity for hyperscale customers, they introduce distinct corporate economic dynamics. The inclusion of physical enclosures, connectors, and passive components shifts the underlying cost structure, which accounts for the gradual compression in corporate gross margin profile from 76.2% in Q3 FY2025 to guided levels near 72% in Q3 FY2026. Management's ability to balance this hardware mix shift against

high-margin proprietary silicon remains the critical determinant of long-term cash flow realization.

What the recent record shows

- Aries PCIe 6 solutions delivered record revenue performance in Q2 FY2026, building upon an initial commercial ramp that accounted for over 20% of corporate revenue in Q3 FY2025.
- The Scorpio X-Series 320-lane fabric switch achieved production status a quarter early, driving Q3 FY2026 revenue guidance to $540 million to $560 million, representing roughly 40% sequential growth.
- Non-GAAP gross margin experienced persistent dilution, contracting from 76.4% in Q1 FY2026 to 73.7% in Q2 FY2026, with forward guidance pointing to approximately 72% on hardware mix and an approximate 2% non-cash Amazon warrant contra-revenue drag.
- The acquisition of Xscape Photonics secured critical fiber-chip coupling intellectual property, enabling future development of photonic scale-up switches for optically expanded rack-scale clusters of hundreds of accelerators.

> **Our read:** Astera Labs possesses an indispensable technology portfolio that commands unquestioned operational momentum across AI server architectures. However, with the market capitalizing near-term top-line acceleration while overlooking structural gross margin decay and elevated reinvestment requirements, the equity offers an unfavorable risk-reward profile at prevailing market levels, fully justifying our Hold recommendation.